Development Bank to link with Myanmar and Bangladesh as well.

India, Japan, and the United States have been coordinating their approaches to the Indo-Pacific region for a considerable time. The Trump administration has enacted a new law called the Asia Reassurance Initiative Act under which an allocation of US$1.5 billion has been made to help countries in the Indo-Pacific region. The focus of this assistance will be essentially on some of the closest US allies like Taiwan and South Korea, but it will also extend to the area of maritime security in the Indian Ocean and infrastructure development where countries like Sri Lanka, Bangladesh, and Nepal may benefit. It may, however, be kept in mind that both Japan and the United States have their own priorities and styles of engaging with Asian countries, and their coordination with India in this respect, even in selected cases, will take time and effort to firm up.

Summing up

India’s “neighbourhood first” policy might have only been partially driven by the Chinese challenge, but it is now fully aware of it. India is trying almost every possible option – ranging from cultural diplomacy to recasting its own cooperative programmes and style of engagement to collaborating with likeminded extraregional powers – to keep its neighbourhood secure from the expanding and assertive Chinese presence. India’s informal Wuhan Summit with China in April 2018 after the military standoff in Bhutan’s Doklam region was an unusual attempt to reset bilateral relations and soften mutual rivalry and competition in India’s strategically sensitive region. There is no doubt that, besides other issues, relations in the neighbourhood